

Shriram Finance Ltd (SHRIRAMFIN)

Sector: Financials | Financial Intelligence tearsheet | Latest FY24 (2024-03)

1. Core Performance Ratios (Latest Year)

Metric	Value	Benchmark / Status
Return on Equity (ROE)	15.12%	ROE > 15% is healthy
Return on Capital (ROCE)	16.63%	Relative sector-adjusted benchmark
Net Profit Margin (NPM)	20.33%	Core net earnings efficiency
Debt to Equity (D/E)	3.99	Financial leverage ratio
Interest Coverage Ratio (ICR)	0.68	Debt service capacity cushion
Asset Turnover	0.15	Asset utilization intensity

2. Time-Series Income Statement (P&L; Trend)

Year	Revenue / Sales (Cr)	Net Profit (Cr)	EPS (■)
2024-03	■36,388.0	■7,399.0	■39.00
2023-03	■30,492.0	■6,020.0	■32.00
2022-03	■19,255.0	■2,721.0	■20.00
2021-03	■17,422.0	■2,499.0	■18.00
2020-03	■16,561.0	■2,512.0	■20.00
2019-03	■15,536.0	■2,576.0	■20.00

3. Balance Sheet & Asset Structure

Year	Fixed Assets (Cr)	Current Assets (Cr)	Borrowings (Cr)
2024-09	■3,215.0	■260,256.0	■207,820.0
2024-03	■3,718.0	■235,076.0	■195,496.0
2023-03	■3,714.0	■199,363.0	■164,202.0
2022-03	■418.0	■134,879.0	■114,846.0
2021-03	■437.0	■126,126.0	■106,546.0
2020-03	■489.0	■110,841.0	■94,735.0

4. Cash Flow & Capital Allocation Pattern

Year	CFO (Ops)	CFI (Invest)	CFF (Finance)
2024-03	■-31,101.0	■-258.0	■27,609.0
2023-03	■-17,625.0	■5,076.0	■11,820.0
2022-03	■-8,859.0	■-34.0	■8,505.0
2021-03	■-4,239.0	■-25.0	■12,226.0
2020-03	■-2,464.0	■-55.0	■4,579.0
2019-03	■-5,535.0	■-76.0	■5,550.0

5. Qualitative Analysis (Strengths & Risks)

■ Strengths (Pros)	■ Risk Factors (Cons)
• Robust long-term top-line growth with a 5-year Sales CAGR of 18.6%. • Accelerated earnings expansion with a 5-year PAT CAGR of 23.5%.	• Latest free cash flow is negative (■-31,359.0 Cr), requiring external capital or cash drawdowns. • Lower earnings quality with a CFO/PAT ratio of only -4.20, indicating accrual drag. • Weak debt servicing cushion with an Interest Coverage Ratio of only 0.68x. • Stock trades at a premium valuation multiple with a high P/E ratio of 68.5 (above sector median of 34.2). • Asset-heavy or inefficient operations with a low asset turnover of 0.15.